

RailTel: Partnering Digital Transformation

RailTel, a distinguished Mini Ratna (Category-I) PSU under the Ministry of Railways, is a leading end-to-end solution provider in Telecom, IT, ICT, and Railway Signalling. RailTel's 61,000 RKM OFC network along railway tracks, 21000 KM citywide access network, two TIER III Data Centres, MeitY empanelled cloud- Railcloud, Security Operation Centre and multi dimensional ICT offerings makes a unique combination for RailTel to become a one stop solution of Digital Transformation. RailTel provides a comprehensive array of services such as MPLS VPN, Leased Line, Tower Colocation, Data Center services, Telepresence, Security Operation Centre services and more. RailTel is also an expert in end-to-end project delivery in the field of E-Governance applications, defence, health, education, smart city, signalling and communication and many more



■ Sh. Sanjai Kumar

Chairman & Managing Director

RailTel has been performing consistently with an impressive growth of 12% on QoQ basis and 47 % on YoY basis in Operating Revenue. What are the key success factors attributed to this growth?

For the nine months ended on Dec- 2023, the company achieved a total Income of Rs 1770 crores and total PAT of Rs. 169 crores registering a 38% and 50% YOY growth Respectively. With healthy order book, the company has visibility of substantial growth in Operating Income in coming quarters.

RailTel is uniquely positioned as a Telecom Infrastructure, IT & ICT services provider and our diverse portfolio of services e.g. Telecom Network & Infrastructure Services, Managed Data Center and Hosting Services, MeitY empanelled Railcloud and Security Operation Centre services and various Projects (System Integration Services) positions us as a one-stop solution provider for telecom infrastructure tailored to meet the diverse needs of our clients. The consistent growth of the company is due to growing business in Project segment pertaining to ICT, Signalling, Tunnel communication etc. which we are getting through open competition/tender basis. Having built expert skilled human resource with very young average age profile and capability as a System Integrator with a strong partnership ecosystem, RailTel will keep on delivering and growing in the Project business.

The Indian ICT market is anticipated to record a CAGR of around 10% over the period of 2023-28. Which are the focus areas of your company

to enhance the growth of its business?

RailTel operates in the dynamic industries of Telecom Infrastructure, IT, ICT, and Railway Signalling, which present both challenges and abundant opportunities. As a company, we maintain a steadfast commitment to our future growth vision, continually adapting to the evolving IT and Telecom landscape and realigning our strategies to address emerging challenges.

Indian Railways' substantial investment in upgrading their signalling and communication system has been instrumental in RailTel's renewed focus on railway projects, including Signalling, LTE-R, Kavach, Digitization and Consultancy leveraging our expertise in these domains. In fact, our focus extends beyond Railway signalling project execution, as we are aiming to actively contribute to the provision of skilled resources in signalling field. This initiative is facilitated through our recently inaugurated Centre of Excellence for Railway Signalling and Telecommunications Training, which will not only broaden our service offerings but also create a new revenue stream for us.

The ongoing wave of Digitalization is creating new prospects for companies like ours. Additionally, the increasing adoption of AI-based technologies is facilitating our diversification into new business areas. Cybersecurity holds a pivotal role in our growth strategy, and RailTel has its own Security Operation Centre along with a qualified team to provide onsite and offsite security services. In the specific context of the telecom sector, the advent of 5G is likely to be a significant growth factor.

The demand for network and allied infrastructures is poised to propel RailTel's business forward.

Emphasizing on robust technical capabilities and strong data governance, RailTel aims to build digital trust and deliver customer-centric services, positioning itself as a leader in the rapidly evolving landscape of Telecom infrastructure, IT, ICT and Railway signalling.

Fiber is expected to emerge as the leading fixed broadband technology by 2025. What is RailTel business strategy for it's Retail Broadband- RailWire in this scenario?

RailTel through its Retail Broadband service- RailWire connects to Indian households. RailWire- RailTel's Home Internet is already reaching to 5.65 lakh

subscribers across India. RailTel is Ranked 15th largest broadband provider (subscriber count) as per TRAI Mar'23 report.

We have introduced OTT bundled broadband plans, contributing to further subscriber growth. In a move to offer additional value-added services, we are providing Internet Protocol Television (IPTV) services in selected areas.

RailTel's Railwire is a partnership model and is a unique offering reaching to hinterlands of India enabling local entrepreneurship. Our Pan-India network infrastructure fiber which is present along the Railway tracks reaches 6108 Wi-Fi enabled Railway stations majority of which are present in Rural India. Leveraging this, we aim to extend RailWire broadband services to the remote villages of country which has minimal or no telecom infrastructure. Connecting the rural India will help in enriching rural people's daily lives with digital inclusion.

The Data Centre Industry is witnessing unprecedented growth. How is RailTel placing itself in this area?

Due to the rush in digitalization efforts across industries, the need for Data Centre has multifolded in the past few years and it is expected to grow further. RailTel has two UPTIME certified Tier-III Data Centers at Secunderabad and Gurugram. RailTel offers a host of Data Centre services like Colocation Services, Managed services, Cloud Computing, Managed E-office, Aadhar Authentication, Dedicated Solutions etc, from these two state-of-the-Art Data Centres. RailTel has its own cloud – Railcloud and we have been empaneled with MeitY as a cloud service provider. NIC e-office applications and other applications of a number of Govt Entities and PSUs are hosted on the RailTel's RailCloud. All RailTel hosting and co-location services are backed by SLA's of 99.983% which is best by industry standard.

We are now focusing on capacity enhancements and expansion in Data Centre segment. We are planning for setting up a full scale Data Centre at Noida in partnership model. We are also working on setting up Edge Data Centres across India. The rising demand for Edge data centers services is driven by IoT, big data, AI, cloud, OTT streaming, and 5G technologies as they provide reduced latency, real-time analysis, enhanced performance and business agility.